JATHNIER CORPORATION
RUBY ST., RGA VILLAGE, DACUDAO,
DAVAO CITY, PHILIPPINES.
(082) 282 2439

MEMORANDUM

February 21, 2023 **GM/FA-2023-0221-0021**

TO: **ALL DEPARTMENTS & SECTIONS**

FR: **GABRIEL L. CUAYCONG / GM – FINANCE & ADMINISTRATION**

Cc: **DLC/MGC/Audit/Operations/Supply Chain Management/AP Section/Treasury Section**

Re: **CORPORATE POLICY AND PROCEDURE ON SALE OF SCRAP ITEMS**

Moving forward to our corporate vision in business year 2023, Jathnier Corporation's direction is to implement strongly our **INTERNAL CONTROLS**, in particular the transactions related to **SALE OF SCRAP ITEMS.**

INTERNAL CONTROLS

An internal control is a procedure or policy put in place by management to safeguard assets, promote accountability, increase efficiency, and stop fraudulent behavior.

Definitions:

1. **SCRAP ITEMS** – Scrap items are considered as by product in a form of empty containers and packaging material after its contents are fully used up by a production process.

   Scrap Items:
   1.1. **Empty Laton with cover** – empty plastic container of Margarine & Shortening.
   1.2. **Empy Container with cover** – empty plastic container of edible oil.
   1.3. **Empty Sack** – empty packaging material of salt, sugar, milk & flour.
   1.4. **Empty Cartons** – empty carton packaging material of various materials.
   1.5. **Coconut Shell** – coconut shell by product of Stuffed Ingredients Section of Production.

2. **GENERAL LEDGER ACCOUNT** – 90030 Sale of Scrap Materials, under account type Other Income.
3. **PULL OUT FORM** – official form to be accomplished and issued by the source department of scrap items for schedule pull out by logistics going to the Property Control Section inventory under the Supply Chain Management Department.
4. **SALES ORDER** – a QBe generated document that will serve as record for inventory transfer from Property Control to GL Account Sale of Scrap Materials and to track what item/s our customer agreed to buy.
5. **SALES RECEIPT** – a QBe generated document that will bill the customer and receive payment at the same time, since we do not maintain an Account Receivable (AR) on this items.
6. **SOURCE DEPARTMENTS** – this are the following sections, department or segments of the company that creates scrap items:
   6.1. RBS Branches
   6.2. Baking Centers
   6.3. Pre-Mix Section
   6.4. Stuffed Ingredients Section (Palaman)
   6.5. Warehouse

POLICY & PROCEDURE

A. PULL OUT AND RECEIPT BY PROPERTY CONTROL OF SCRAP ITEMS

1. Source departments, upon declaration of scrap items, must fully accomplish and issue the PULL OUT RECEIPT indicating the source department, date, item code, item description, quantity and unit of measure. Properly attested with name, signature & date of the one who prepare, Logistic personnel assigned to pick up must affix name & signature and Receive by Property Control.
2. Source departments must ensure and attest the completeness and condition of the scrap items reflected on the PULL OUT RECEIPT.
3. PULL OUT RECEIPT must be pre coordinated by Source Department to Property Control for logistics schedule of pick up.
4. Upon pick up by Logistics. All items data reflected in the PULL OUT RECEIPT must be correct and accurate. "NO ERASURES'. Branch copy of PULL OUT RECEIPT will be forwarded to Cost & Inventory Management Section attached together with the Branch Reports.
5. Logistics personnel is "PROHIBITED" to make any correction in the PULL OUT RECEIPT without the consent and attested by the Branch representative. Correction should have the signature of the PULL OUT RECEIPT preparator.
6. Logistics personnel who make the correction to the PULL OUT RECEIPT is a direct deviation of this policy, subject for restitution and administrative sanction.
7. Upon receiving of the Scrap Items, Property Control must execute receiving standard procedure and affix name & signature. Discrepancies on quantity are automatically subject for administrative sanction.
8. Upon receipt of Scrap Items, Propery Control will execute immediately QBe ITEM RECEIPT of the Scrap Items to Property Control inventory. Copy of the PULL OUT RECEIPT with attached QBe ITEM RECEIPT forward to General Accounting Section Accounts Receivable Staff.

B. SALE OF SCRAP ITEMS

1. Buyer will transact only at RGA Head Office through General Accounting Section, Accounts Receivable Staff.
2. Accounts Receivable Staff will check thru QBe the stock availability of Scrap Items. Once stock is available, buyer must confirm intent to buy specified quantity and amount of scrap items to buy.
3. Accounts Receivable Staff will print QBe generated Sales Order in four (4) copies and to be acknowledged by the buyer.
4. In Policy, the company does not maintain Accounts Receivable on Sale of Scrap Items. All transactions should be paid in cash.
5. After acknowledgement of Sales Order, the buyer will retain 3 copies and proceed immediately to cashier for cash payment.
6. Cashier will validate Sales Order, received equivalent cash and print Sales Receipt in three (3) copies. Keep one (1) copy each of Sales Order & Sales Receipt for filing. Issue 2 copies of the Sales Receipt & Sales Order to the buyer.
7. Sales Order & Sales Receipt will be relayed by Accounts Receivable Staff to Property Control for Scrap Items preparation, make ready for pick up by the buyer.
8. Upon pick up of the Scrap Items by the buyer, surrender the two (2) copies each of Sales Order & Sales Receipt to Property Control for releasing of scrap items.
9. Property Control will stamp mark the Sales Order & Sales Receipt copies "RELEASE".
10. One set of copies will be retained by Property Control for file and record keeping.
11. One set of copies will be retained by the buyer that will serve as exit gate pass for the guard to record on the Sale of Scrap Items Logbook. Upon recording to the Logbook, the set copies will be returned back to the buyer by the guard on duty.

Note: See attached Sale of Scrap Items Process Flow Chart 2023.

JATHNIER CORPORATE ADMINISTRATIVE POLICY

INVENTORIES are a valuable Asset of the company, as well the development and efficient implementation of methods, procedures, applied technology is of utmost importance of our corporate direction. Personnel who are designated and authorized to execute this policy and procedure are expected to have a full understanding of the responsibility and accountability of this controls. They have to be careful, accurate and must show with utmost diligence in implementing this system and procedure. **The manner in implementing this directive are governed under the Company Code of Discipline, #4.2. Corporate General Rules & Regulation and #16 Offenses against Company Assets and Property.**

This memorandum directive will officially take effect on **March 01, 2023**. Any clarification on this matter please communicate accordingly.

Gabriel L. Cuaycong
GM/FINANCE & ADMINISTRATION

Noted:

Melina G. Comedido
VP/Operations Director-JC

Jathnier Corporation

Ruby St., RGA Village, P. Bangoy
Davao City, 8000

Sales Order

Date	S.O. No.
2/27/2023	2

Name / Address

Ship To

Item	Description	Ordered	U/M	Rate	Amount
				Total	PHP 0.00

Jathnier Corporation

Ruby St., RGA Village, P. Bangoy
Davao City, 8000

Sales Receipt

Date	Sale No.
2/27/2023	1

Sold To

Description	Qty	U/M	Rate	Amount
			Total	PHP 0.00

JATHNIER CORPORATION

Ruby St., RGA Village, Davao City, Davao Del Sur.
rosebakehsop@rosebakeshop.net

No. _____

PULL OUT RECEIPT

(MERCHANDISE RETURNED)

FROM: _____ DATE _____

PULLED OUT [ ] RETURNED [ ]

QUANTITY	UoM	DESCRIPTION	REMARKS / REASON	AMOUNT	RIS REF. No.

Prepared By:

Signature over printed name

Transported By:

Signature over printed name

Received the above merchandise:

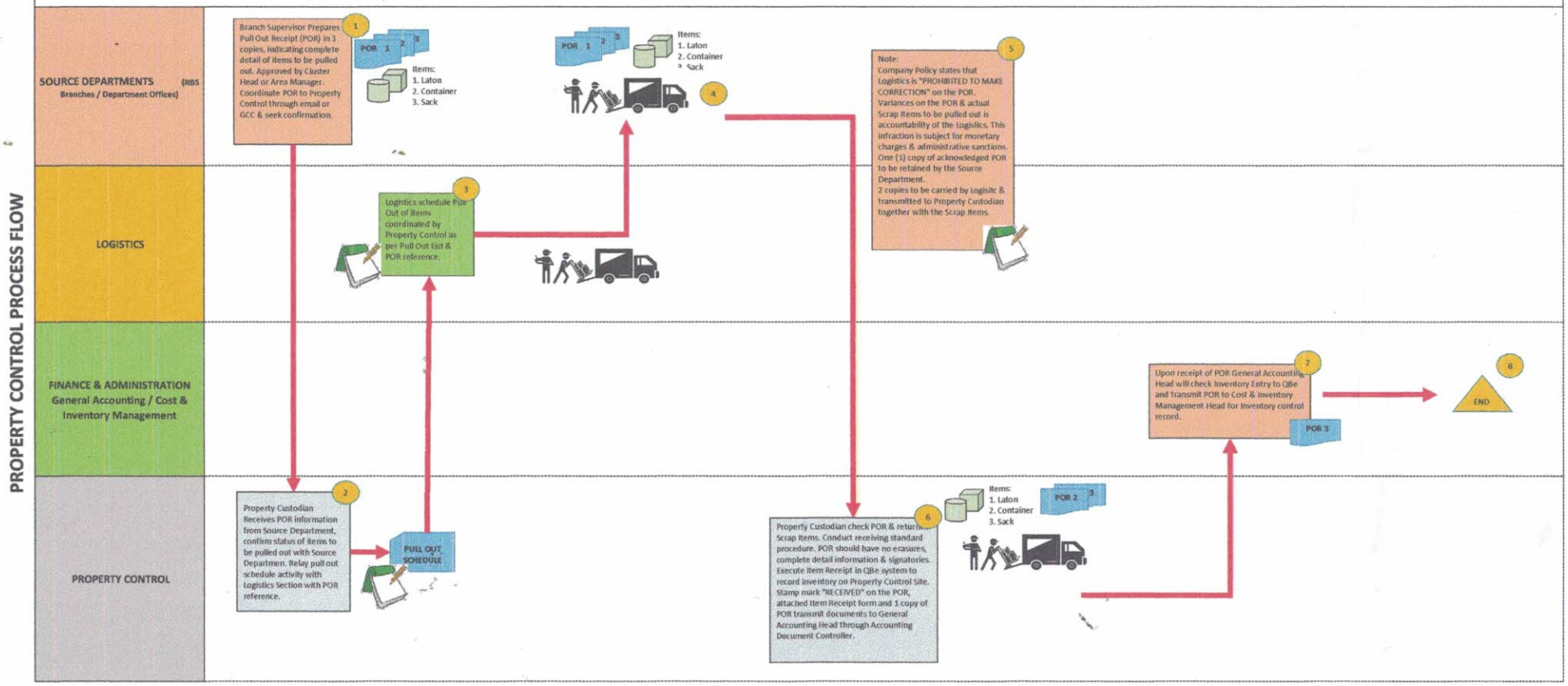
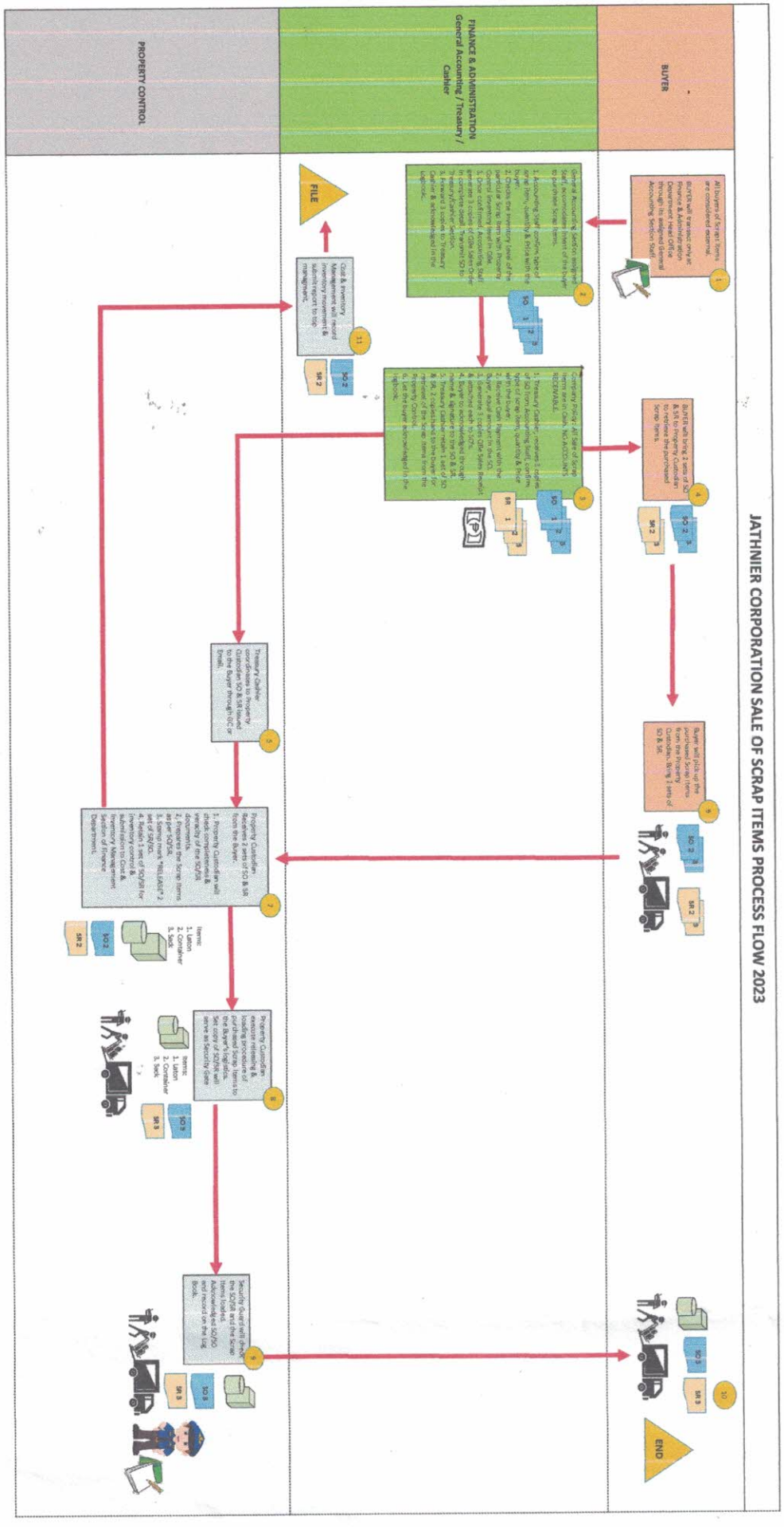
Signature over printed name

*Copies: *White (Accounting) *Yellow (DBC/Warehouse) *Pink (Branch)*

* This form was recently created by DBC and is now being implemented.

Purpose :
For any Material, or Finished Goods for pull out or for return.

JATHNIER CORPORATION PROPERTY CONTROL PULL OUT OF SCRAP ITEMS PROCESS FLOW 2023



FINANCE & PROPERTY CONTROL PROCESS FLOW